



Winding Tree

The Three Inquirers



Maksim Izmaylov

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As you know, at Winding Tree our modus operandi is transparency and collaboration, and therefore we welcome feedback and constructive criticism. With this article, I would like to answer questions and comments from Douglas Quinby (senior analyst at Phocuswright), Ian C. (founder of Travel Massive) and Fritz Oberhammer (Senior Manager at Expedia Affiliate Network).

Before I dive into it, I would like to thank all the people and organizations that continue supporting our vision. First of all, it's our backers. As of the time of writing this article they have contributed a mind-boggling 10,000 ETH towards our cause. And, of course, it's probably a hundred of people that made this project possible: Norm Rose, Douglas Rice, Mohammad Gaber, Johnny Thorsen, William Niejadlik, Don Birch, Marina Janeiko, Manuel Araoz (and team Zeppelin) and many many others.

What is Winding Tree? Winding Tree is a non-profit based in Gibraltar (why did we move there from Switzerland?). The innovation that we bring to the travel industry is two-fold. We want to travel companies to be able to connect to each other without the need of a trusted third party (that's what blockchain is suitable for), plus, we're doing it in a way that's never been

tried in the travel industry: open-source. Winding Tree is the first project of its kind; it's a facilitator of the grassroots movement, where the non-profit would fund third-party projects that are aligned with our vision. What is that vision? We want to remove high barriers to entry to the travel industry by opening up the data. Without open data, we will not see innovation in the travel industry. Currently, it's incredibly hard for the startup community (the main source of innovation) to iterate in the travel space quickly. We want to change that. Why? **To make travel faster, better, safer and cheaper for everyone.**

A Note on Journalistic Integrity

All three inquirers used their own platforms to criticize our project and it's our expectation for them to publish our answers but as of February 8, noon UTC (two days later) they haven't done so.

Ian C. went as far as to suggest that we post our answers on his platform. Imagine Mark Zuckerberg posting something bad about you on Facebook and then suggesting that you create your own post to answer... For no apparent reason, Ian is our fiercest critic. He even accused us of using a botnet to promote our ICO (it was his first tweet in a few months, such an honor!), which amused not just our team but also someone who manages **NewsBTC** Twitter account.

Douglas Quinby is "quite likely the most influential, thought-provoking and humble person in the entire travel industry", in his own words. He likes OTAs. Loves them! And he hates blockchain. Nonetheless, Phocuswire and Phocuswright have to be objective in covering all positives and negatives of OTAs and blockchains.

No to censorship! Blockchain-based decentralized media for the win!

RE: Pulse check: Blockchain not a panacea to disrupt web travel (Douglas Quinby)

The main idea of Douglas Quinby's article is this: tackling travel distribution will not disrupt OTAs, a better business model for customer acquisition will do that because OTAs are charging their fee to buy ads and do all sorts of things to acquire customers.

A big part of what OTAs do is spend a lot of money on marketing. The combined Google Ads spend of Priceline and Expedia is \$6B a year! But Douglas is missing the point. Our goal is not to disrupt the middlemen! Our goal is enabling innovation! We welcome any OTA and GDS out there to join and work with us. In fact, we're talking to some of the big players about them using the infrastructure we're building. These intermediaries will likely have to change their business models, but they won't go away and they don't need to! At the same time, we're creating conditions for many other people to be able to develop different marketing and customer acquisition strategies that the industry can't come up with today because we can't iterate fast enough! But if a small team had access to all the hotel (airline, car rental, etc.) inventory in one place, they would have the ability to try different things (including marketing) quickly, therefore many more different approaches will be tested and many successful new strategies will be discovered.

There are a few other ideas from the article that I'd like to comment on.

The authors seem to be convinced that blockchain is *only* about enabling trust and sending payments. In reality, Bitcoin, as a working example of a public permissionless blockchain, goes way beyond that in terms of implications for the society. It allows us to cooperate flexibly in large numbers (allow for greater social scalability); it has created a worldwide movement for finding the cheapest electricity; it forced the largest civilian deployment of public key cryptography; it allowed us, for the first time in human history, to create money with all kinds of different properties!

Innovation to us means trying new things quickly, discarding the 99% that didn't work. "Fail fast" is the Silicon Valley mantra. Why? Not because we want to fail but because we want to quickly find things that don't work. "I

have not failed. I've just found 10,000 ways that won't work." —

https://www.goodreads.com/author/quotes/3091287.Thomas_A_Edison

13 Questions About Winding Tree from Ian C.

The response below was written by our Head of Strategy, [Dave Montali](#), I couldn't say it better, so here's the full text.

1. How is Winding Tree different from Lockchain?

In a nutshell, they don't have anything in common. Lockchain is an OTA which charges a monthly fee to list on their platform.

“Advanced blockchain technology and the use of a native token will allow us to operate at effectiveness which is unmatched by any other accommodation provider in the industry. This will allow us to cut out all commissions on revenue and focus on providing value driven service for a fixed monthly fee” (<https://web.archive.org/web/20180204185937/https://lockchain.co/FAQ.html>)

Lockchain sold tokens which are merely a gift card you can use on their platform. Their tokens are standard ERC20 tokens which are only able to transfer value. They are essentially a very volatile gift card you can use only on their website. The team retained 50% of all tokens in circulation and as far as I'm aware there is no vesting schedule in the smart contracts.

Winding Tree instead operates on [ERC827](#) tokens, which we created, and are now part of the core library of [Zeppelin OS](#).

A booking that is going through Lockchain, as far as I'm aware, does not even touch the blockchain, as you can just pay with credit card through their website. They have no blockchain explorer where you can see the suppliers of inventory, they merely use a default explorer to show token transfers.

Economically speaking, competing with Expedia and Priceline on marketing with a “monthly fee” (wait I thought it was free?) seems very unlikely, it has been tried and the need for blockchain here is beyond me.

You mention Lockchain are the first open-source blockchain for travel. 1) Winding Tree was first proposed as an academic project in 2015, under the name of OpenRes 2) Lockchain is not open-source, as I mentioned above the booking doesn't even go through the blockchain — but then again, I tried recently and booking doesn't even work. They've been confronted with this multiple times and will call people who confront them about this FUDers. But just show the code. Here is ours: <https://github.com/windingtree>

Winding Tree is a protocol that enables startups and developers to source inventory from all suppliers on the platform through one simple data standard. The blockchain allows for this infrastructure to be self-hosted and brings the decentralization aspect to it. Therefore, in 4 years time we cannot simply introduce a commission.

2. How will travel search be implemented on Winding Tree?

We are currently building the API to handle the search. We're an open-source project and already receive contributions from the open-source community, this is what we mean by "it will be developed by software engineers." Some engineers building a travel app on top of Winding Tree might find better solutions to our algorithm and propose these as PR to the main repo. Our partners, i.e., Air New Zealand have also committed development resources to the project and are also working on open-source code, which includes search.

3. Why does Winding Tree claim there won't be transaction fees, when in fact there are?

Now here we have to differentiate between network fees and commissions by Winding Tree. The quotes are taken out of context from a 24-page paper. Winding Tree doesn't and never will charge transaction fees for anything happening on the blockchain. However, blockchains themselves run on mining fees, and there are network fees paid to people contributing their computational power to the network and keeping it safe. Every blockchain has network fees, yes even IOTA.

Transaction fees vary depending on the use of the platform. The Casper protocol update, expected to come to Ethereum this summer, introduces hybrid PoS with the goal of switching to PoS fully down the road. Once PoS is in place, Plasma and Sharding are possible which create enough scalability. (PoS = Proof of Stake, see: <https://github.com/ethereum/wiki/wiki/Proof-of-Stake-FAQ>)

Also most importantly, individual transactions do not require a transaction fee as these happen in the state channel, more to that later.

4. How will the Winding Tree architecture actually handle bundling?

As the end goal is to have the different types of inventory under one standard, once you book a flight from DXB to LIS you can automatically query hotels in LIS and ancillaries at DXB and LIS.

5. What is the “state channel”?

State Channel technology is a blockchain technology which allows for scalability, privacy, and instant transactions off-chain. State channels are cryptographically secured to the blockchain yet can handle large amounts of volume without incurring transaction fees. See: <https://medium.com/14-media/generalized-state-channels-on-ethereum-de0357f5fb44>

Suppliers don't want everyone to see their availability and pricing.

“Inventory is all we have,” they say. They don't want to give that away. So every request opens a state channel with the supplier where they can feed you responses to your requests as if they were receiving a request through their direct website, yet the requestor gets responses from multiple airlines with one call.

6. Will LIF tokens ever be subject to regulatory and legal protections? (And if not — what protection will buyers and sellers have to be confident in the platform?)

Líf is a pure utility token. Your criticism about Líf, if it were in place would make Líf a security, which doesn't make sense for the platform and is neither desired. The protection for buyers, as we make extremely clear in the T&Cs

and in our social channels is zero. Just the same when doing an angel investment, your guarantee is zero.

7. Why can't US and Chinese citizens participate in the ICO?

We only ban U.S. citizens to participate, solely due to SEC statements around ICOs. It's certainly not our intention to ban them, hence, lose potential funding. This is totally out of our control and is done, or should be done, by every ICO.

8. Who owns the intellectual property of the smart contracts and source code?

As you can see from our GitHub repo all code is released as open-source.

9. What is stopping rogue players from manipulating the price and ownership of LIF on the market?

For what advantage? If people buy a lot of Líf to destroy the project they will bear an enormous cost as tokens are divisible up to 18 decimals. What is the economic advantage to do so?

10. How will the Ethereum that is raised via the LIF token sale be used?

To build the whole infrastructure and potentially fund third-party projects looking to build open-source dapps on top Winding Tree. We will have transparent accounting and publish financial results at regular intervals.

11. How will the “community” vote on the proposals?

This is from a dated whitepaper. Due to securities regulation, token holders cannot vote on proposals of the platform. However, anyone can propose changes and updates by doing PR to the main repo. The former part might change depending on the regulatory landscape around the world.

12. Is Don Birch, former CEO of Abacus International involved in the incorporation of Winding Tree?

Switzerland requires a Swiss national to open a Foundation. Don who has been extremely supportive of the project has helped us set-up the foundation and has also been involved in the project. Don has not taken on any tokens as he is very critical of ICOs and tokens, yet a strong supporter of the

distribution protocol we propose. Due to the move to Gibraltar, he is currently deciding whether to stay involved.

13. Where is Winding Tree incorporated?

The company issuing the Líf tokens is incorporated in Gibraltar as Winding Tree Limited. It's a company limited by guarantee, a non-profit. We've gone into detail about why moving around etc. but it's mostly boring legal reasons. If anyone is interested, details are on [our blog](#).

Why Winding Tree, the “Bitcoin for Travel”, might be flawed...

I wanted to leave a comment under Fritz's article, but his website didn't allow me to do that. Here it is.

Issue 1: Easily possible “fake hotel” scam

“Easily possible fake hotel scam” is actually impossible. This is not a problem that we need to solve since it's been solved many times by the industry. AirBnB solved it, Expedia solved it, etc. How? First, reputation system. Second, if there is a new hotel with no reviews, the payment won't be sent to them until there are 10–100–1000 positive reviews of the hotel/airline/etc.

Issue 2: Currency fluctuation (big!!)

Currency fluctuations in crypto are crazy. It doesn't mean travel companies have to deal with it. We have two solutions. a) converting Líf to fiat only at the time of the transaction, b) a special insurance smart contract that will make sure you aren't underpaid.

Issue 3: File-size of decentralized portfolio and traffic load

Fritz is not very familiar with crypto. If he were, he'd know about state channels that make this issue (and issue 4) solvable. I encourage everyone to read about state channels and lightning network, in particular. It was even on our blog: <https://blog.windingtree.com/lif-token-state-channels-1dc2629617f0>

Issue 5: Supplier cost (Cancellations)

5. With our smart contracts, every supplier will be able to define their own business rules around cancellations. Something they can't do with Expedia or Priceline.

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	verification				contract configuration	
Registration / Invalidation	-Registers itself -Deposits a proper amount of LIF -Sends a LIF deposit withdrawal request (become disabled) -Disable itself -Become disabled if his LIF deposit balance is exhausted	-Registers itself -Deposits a proper amount of LIF -Sends a LIF deposit withdrawal request (become disabled) -Disable itself -Become disabled if his LIF deposit balance is exhausted	-Registers itself -Deposits a proper amount of LIF -Sends a LIF deposit withdrawal request (become disabled) -Disable itself -Become disabled if his LIF deposit balance is exhausted			
Verification		-Verifies suppliers or retailers -Invalidates suppliers or retailers -Pays verification fee with LIF to the DAO from its deposit balance			-Validates and verifies verifiers -Invalidates verifiers	
Deals creation			-Creates a deal on behalf of a customer and pays an offer price	-Creates a deal and pays an offer price		
Deals rejection	-Pays tx expenses -Pays a proper amount of LIF from its deposit as a rejection penalty			-Receives a full refund of the deal funds	-Receives "rejection fee" from the supplier	
Deals cancellation	-Receives full part of	-Receives part of the	-Receives part of the	-Pays tx expenses	-Receives part of the	

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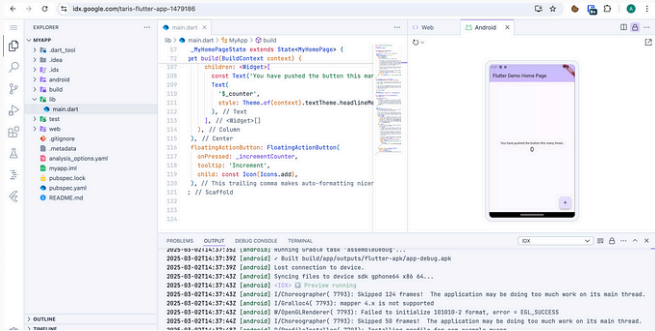


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